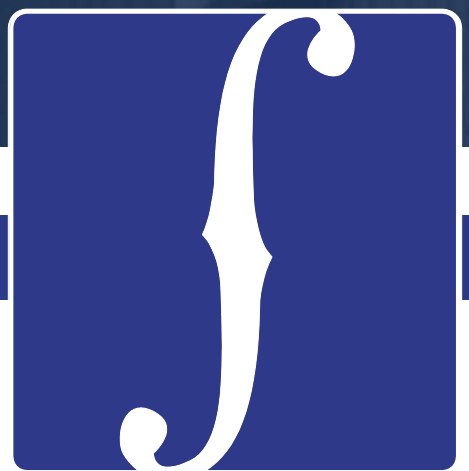




CELLO

Modeling Mortgage Credit Availability

October 2015

Mortgage Credit Availability can be defined as the supply of mortgage credit available for a reference household.

A **Mortgage Credit Availability Index (MCAI)** measures the supply of mortgage credit in a systematic way over time. A change in the MCAI corresponds to either a change in underwriting standards for benchmark mortgage products (**Borrower Risk**) or the introduction/de-emphasis of non-standard mortgage products (**Product Risk**).

Tracking changes in an MCAI is informative from the perspective of the overall strength of the housing market and for tracking structural changes in refinancing efficiency.

A SIMPLE MCAI: TRACKING CHANGES IN COLLATERAL CHARACTERISTICS

Collateral Characteristics on 30-year Conforming Mortgages

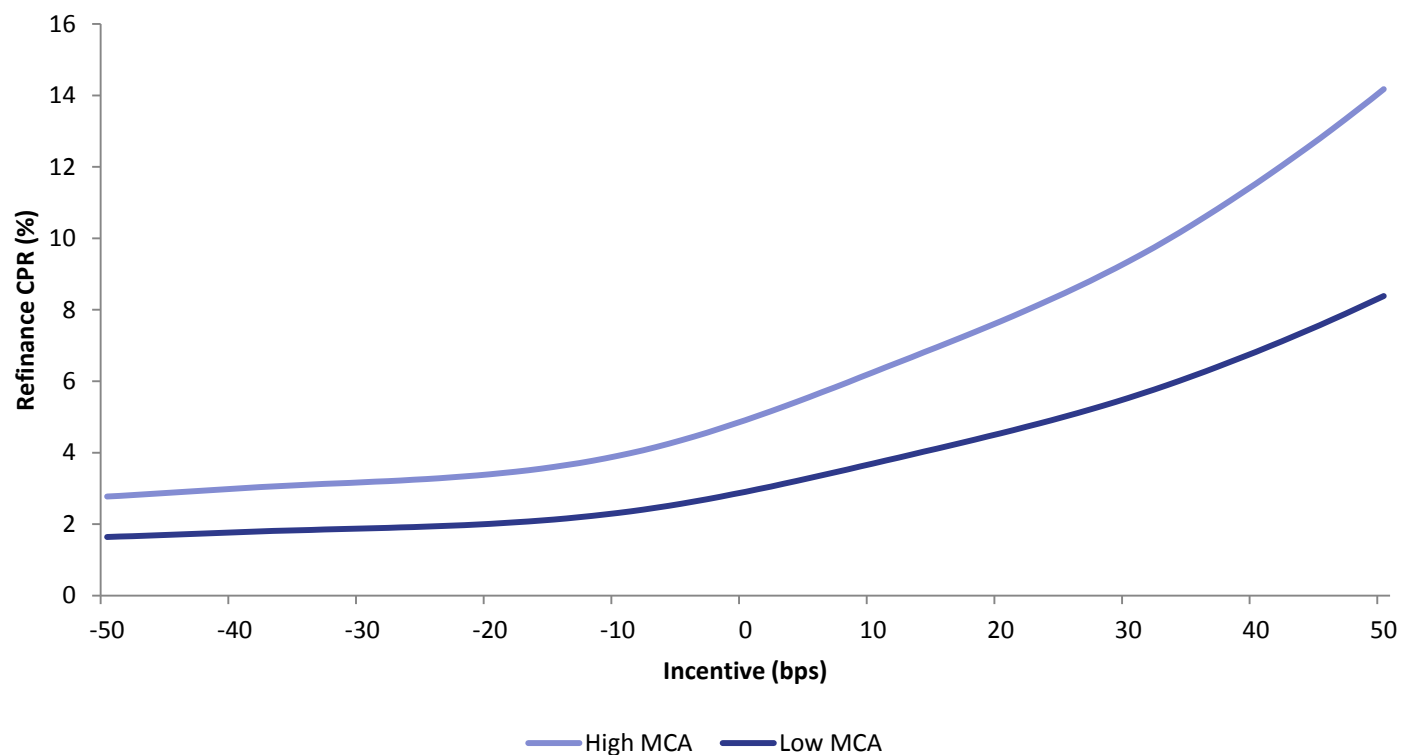
	OLTV Mean	% OLTV > 90	DTI Mean	% DTI > 40	FICO Mean	% FICO < 700
2015-7	83.0	32.9%	34.2	28.5%	752.5	13.8%
2015-6	83.0	32.9%	34.5	29.7%	751.8	14.2%
2015-5	82.9	32.9%	34.6	30.2%	751.4	14.2%
2015-4	82.9	32.9%	34.6	30.2%	750.6	14.7%
2015-3	82.7	31.9%	35.0	32.3%	749.1	16.1%
2015-2	82.8	32.6%	35.0	31.9%	749.2	15.8%
2015-1	82.7	32.0%	34.8	31.2%	749.7	15.6%
2014-12	82.6	31.8%	34.8	31.2%	749.9	15.5%
2014-11	82.8	32.3%	34.8	30.9%	749.7	15.6%
2014-10	82.7	31.6%	34.6	30.1%	750.9	14.7%
2014-9	82.7	31.2%	34.4	29.3%	750.9	14.7%
2014-8	82.8	31.7%	34.3	28.9%	751.5	14.2%
2014-7	82.8	31.9%	34.5	29.2%	751.3	14.3%

Significant extensions and tightenings of MCA are usually associated with housing bubbles/crashes.

An increase in MCA either through relaxing underwriting standards or by introducing new mortgage products allows existing mortgage holders to refinance with less friction than in the past. The opposite holds when MCA decreases.

Variations in MCA levels can create dramatic differences in refinancing efficiency. The figure shows the different levels of refinancing based on the 2003-2004 and 2010-2011 refinancing experience. At 50bps of incentive, the difference in refinancing rates can be as much as 6% CPR. The differences increases as incentives increase.

REFINANCING EFFICIENCY IN DIFFERENT CREDIT AVAILABILITY ENVIRONMENTS

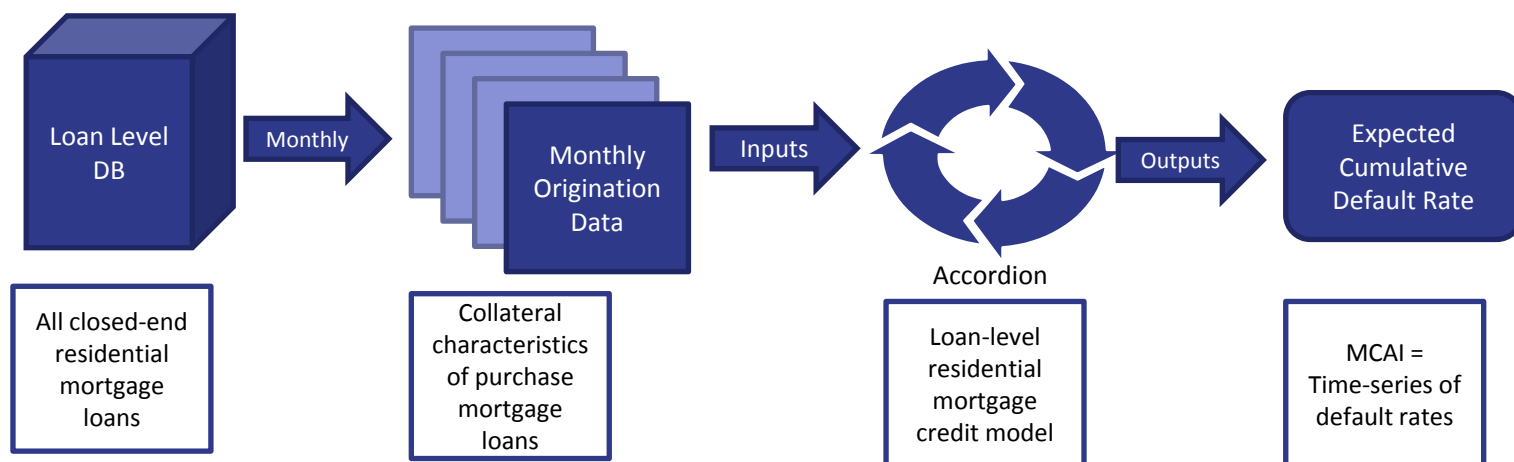


Cello's MCAI assumes that the market increases/decreases credit availability by taking on more/less mortgage default risk.

The fundamental advantage of following this method is that it provides a single comprehensive measure at any point in time that aggregates across the different risk factors that are taken into account in the typical underwriting process (FICO, LTV, DTI, etc.).

The expected default rate is a weighted average of the defaults projected over a "normal" and "stressed" environment.

CONSTRUCTING CELLO'S MORTGAGE CREDIT AVAILABILITY INDEX

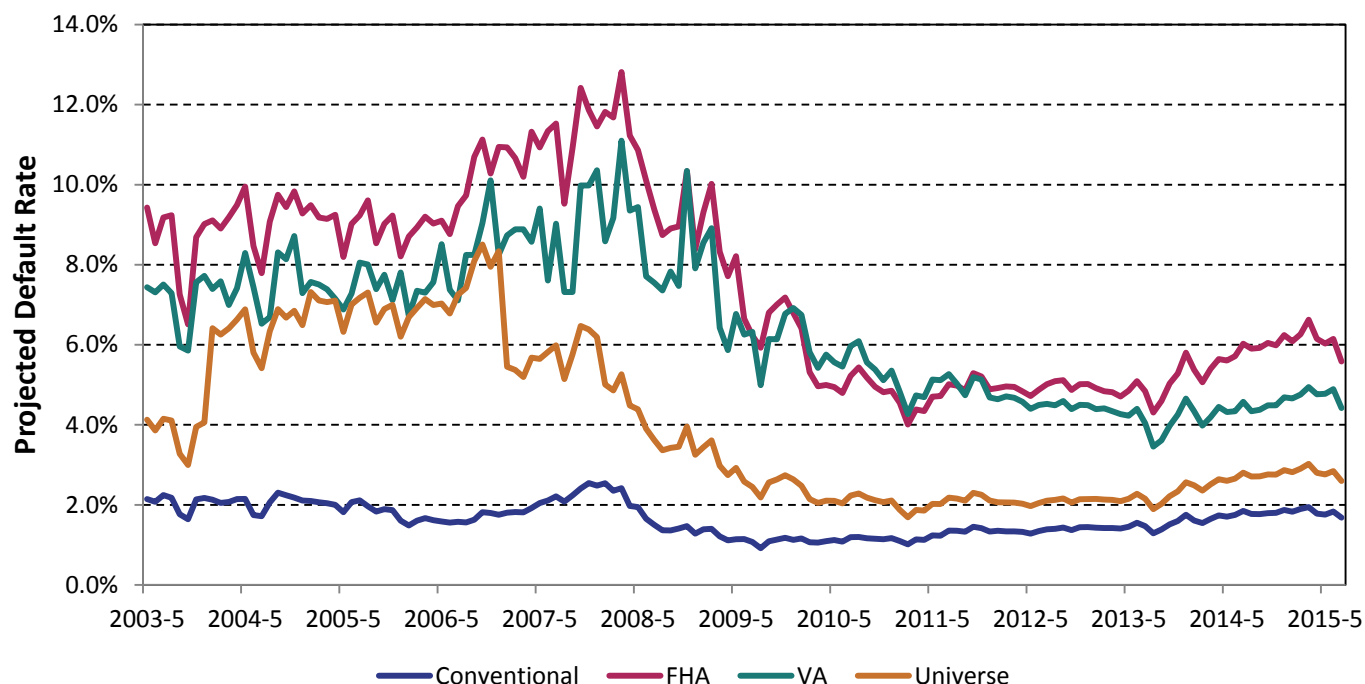


Cello's MCAI shows that, on an aggregate basis, mortgage credit availability at its 2007 peak was almost 4x its prevailing levels.

Most of the post-2007 decline in MCAI has been driven by a substantial decrease in Product Risk with a significant slump in the volume of originated Alt-A and Subprime loans.

More recently (starting 2014), there has been a gradual improvement in mortgage credit availability but overall levels are considerably lower than in the past.

CELLO'S MORTGAGE CREDIT AVAILABILITY INDEX



The major drivers of Cello's MCAI are the average original LTV (OLTV) and credit scores (FICO) associated with each month's purchase originations.

The table provides a sense of the sensitivity of the MCAI to changes in collateral assumptions. For example, a 1 Standard Deviation increase in OLTV levels results in a 48% decrease in the MCAI.

Of course, because of risk-layering, it is unlikely that OLTV levels would drop significantly without corresponding increases in FICO. Thus, the sensitivity analysis provides broad guardrails for how the evolution in collateral characteristics would affect the MCAI.

CHANGES IN THE MORTGAGE CREDIT AVAILABILITY INDEX AS A FUNCTION OF COLLATERAL CHARACTERISTICS

	Average	1 SD	MCA % Change	
	Levels	Change	+1 SD	-1 SD
OLTV	82%	13%	-48%	+84%
FICO	754	42	+59%	-37%

All calculations as of October 2015. Averages and standard deviations are computed based on the last two years of data.

Several market participants have come up with alternate metrics to measure Mortgage Credit availability. Cello's methodology closely follows the HFPC Credit Availability Index although it is a little more rigorous.

MORTGAGE CREDIT AVAILABILITY MEASURES

Measure	Description
Federal Reserve Senior Loan Officer Opinion Survey	Banks are asked to indicate whether credit standards for approving mortgage loans have tightened, remained unchanged, or have eased over the past three months.
Ellie Mae Mortgage Application Denial Rate	The rate at which mortgage applications are rejected
MBA Mortgage Credit Availability Index	Based on changes in the underwriting guidelines for 95 institutional investors who purchase loans through the broker and/or correspondent channels
CoreLogic Housing Credit Index	Index based on credit scores, downpayment amounts, DTI, FRM/ARM, Documentation, Origination Channel
Zillow Mortgage Access Index	Index based on credit scores, DTIs, PMI%, Non-conforming%, Second mortgage%, 30-year FRM/10-year Treasury spread, Quotes Ratio
HFPC Credit Availability Index	Broadly similar to Cello's approach

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